

The 12 Month Audit

Before you change anything, you have to be honest about where the business actually is. Creative businesses run on what we feel and what we think, and not nearly enough on what the numbers say. This is the part where we find out.

Three things before you start

Nobody is firing a client off the back of this. We're finding out what's true. What you do about it comes later, and we do it together.

You will probably be surprised. Most owners have a picture of where their money comes from, and the data tells a different story. That gap is the whole reason we do this.

Send your accounts and skip half the work. Last 12 months, with the expense breakdown. Not just the totals, because we need to separate what a job cost from what the business costs to exist. In Germany that's the BWA from your Steuerberater plus the Summen- und Saldenliste. Elsewhere it's the P&L with the detail showing. Your accountant sends these routinely.

PART ONE

Where the money actually came from

Every client from the last 12 months. One row each. This single table answers five questions at once, so it's worth doing properly.

CLIENT	WHAT THEY SPENT	JOBS	SECTOR OR INDUSTRY	NEW, REPEAT OR REFERRAL

Add rows if you need them. If you have more than about twenty clients, list the top twenty by spend and put the rest in as one line called "everything else".

People say "I turned over X". What counts is what you kept.

What you paid yourself

How many clients in total

Roughly how many days you worked

What the table will show you

Once it's filled in, three patterns usually fall out. Have a look for them yourself before we talk.

- **Concentration.** Roughly 80% of revenue tends to come from about 20% of clients. Work out which of yours those are, because that handful is the business.
- **Sector.** Add up revenue by industry. This is where people get the biggest shock. One owner who thought of himself as a travel filmmaker found that 68% of his revenue came from construction.
- **How the work arrives.** New, repeat or referral. Existing clients are around fifteen times cheaper to sell to than new ones, so if the repeat and referral columns are thin, that's the cheapest growth in the business sitting untouched.

Which clients gave you the highest return for the least effort?

Not the biggest invoices. The ones where the money came easily and the job ran clean.

PART TWO

The work, and how you feel about it

This part isn't sentimental. What you enjoy and what pays are two different things, and the business only works when you know which is which.

Which work did you enjoy most this year?

Which work yielded the most for the effort it took?

Do those two answers overlap? Be straight about it.

If they do, we build there. If they don't, that's the real conversation, and it's better had now than in three years.

The hard version of that question: is the work you love commercially viable? You can believe in something completely and the market can still decline to pay for it. That isn't a judgement on the work. It's information, and it's cheaper to have it now.

Where the business comes from

Split the year by the kind of work rather than the client. Production, post, shoot days, retainers, freelancing for others, full end-to-end, consulting. Roughly is fine.

TYPE OF WORK	ROUGHLY WHAT SHARE OF REVENUE

PART THREE

What you're known for

If someone in your market described you in one sentence, what would they say?

Do you have a specialism? If not, what are you closest to being known for?

"I tell great stories" isn't a specialism. That's the point of entry. You can't be a baker without flour.

Do you routinely ask for written and video testimonials? How many did you collect this year?

An exercise worth doing

Ask your last five clients to describe your business. Not a survey, just a call: what did you like, why did you use us, how would you describe what we do.

It's the fastest market research there is, and the words they use are usually better than anything you'd write about yourself. Most owners never ask, and then spend years guessing at their own positioning.

PART FOUR

Where you want to be

Not in a vague way. Three to five years out, with real detail. If you can't answer this yet, that's fine and it's common, and it's exactly what the **What Does Success Look Like For You?** module in the classroom is for.

What revenue do you want to be making?

How much do you actually want to be working?

What kind of projects?

What do you want to be doing outside of producing video?

Family, health, an instrument, getting back into something you dropped. This is the part people skip and it's the part that decides whether any of the rest was worth doing.

NEXT

Then the margin

This audit tells us where the money came from. It doesn't yet tell us what any of it actually paid you per day of your life, and that's the number that changes decisions.

That's the **Profit Per Day** calculator, and it's the second half of this. It builds the cost of each job up from real day rates rather than asking you to guess a margin, because the margin is the one number nobody knows off the top of their head.

Before you open it, one prediction. Which type of your work do you think pays you best per day?

Write it down now. It's worth knowing whether your instinct matches the arithmetic, and this is the only chance you get to find out.

FINALLY

Sending this back

Two buttons below. Take a copy for yourself and send me the other one.

- **Save as PDF** keeps a copy for you, laid out as you see it here.
- **Download your answers** gives you a small text file with everything you typed. Send me that one on Signal.

Nothing is uploaded anywhere. Both files are built in your browser and saved to your own machine.

Den Lennie is an author and business coach for video production company owners. He helps them escape the operator ceiling and build a business that scales without them in every seat.

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